INSTRUCTIONAL AREA
Risk Management

BUSINESS FINANCE SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Monitor third-party relationships for potential risk.
2. Discuss the nature of global risk.
3. Describe types of financial risks (e.g., interest rate risk, equity risk, commodity risk, etc.).
4. Explain the role of finance in business.
5. Organize information.

EVENT SITUATION

You are to assume the role of a risk analyst at HARBORLINE FURNITURE CO., a mid-size manufacturer of solid-wood dining and bedroom furniture sold through regional furniture stores. The chief financial officer (judge) has asked you to explain the risks that come from the company's outside suppliers and to recommend a plan for keeping watch on those relationships.

Harborline buys 60% of its hardwood from one supplier overseas. That supplier has delivered late on 3 of its last 8 shipments, and a credit reporting service recently lowered the supplier's credit rating. The supplier has also asked to be paid in its local currency instead of U.S. dollars starting next year. In addition, Harborline uses a single trucking company for all deliveries to stores, and that company's contract ends in six months. Lumber prices rose 18% over the last year.

The CFO (judge) wants to know:

- What types of financial risk these supplier relationships create for Harborline
- Which risks come from doing business across national borders
- How Harborline should monitor its suppliers and vendors going forward
- How managing these risks supports the company's finances

You will present your information to the CFO (judge) in a meeting in the CFO's office. The CFO (judge) will begin the role-play by greeting you and asking to hear your ideas. After you have presented your information and answered the CFO's (judge's) questions, the CFO (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. If the supplier refuses to keep pricing in U.S. dollars, what should Harborline do?
2. How would you know the supplier relationship is getting worse before a shipment is actually missed?

	Did the participant:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Monitor third-party relationships for potential risk?	0-1-2-3	4-5-6	7-8-9	10	
2.	Discuss the nature of global risk?	0-1-2-3	4-5-6	7-8-9	10	
3.	Describe types of financial risks (e.g., interest rate risk, equity risk, commodity risk, etc.)?	0-1-2-3	4-5-6	7-8-9	10	
4.	Explain the role of finance in business?	0-1-2-3	4-5-6	7-8-9	10	
5.	Organize information?	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
4.	**Accurate** Demonstrate appropriate finance acumen.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	